Type MS · Why non-current assets lose value (causes of depreciation)

Answer 1 of 9 · Question 13 part b · 2 marks

2025 JUN · Paper 01 (regional R) · find part b in this mark scheme extract

13 (a)	**Award marks as indicated** Straight line **(1)** Reducing balance **/** Diminishing balance **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
13 (b)	**Award marks as indicated up to max 2 marks** Wear and tear / Usage **(1)** Passage of time **(1)** Obsolescence / Technological change / Economic factors **(1)** Depletion **(1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
13 (c)	**Award mark as indicated** Matching/accruals **(1)** **OR** Consistency **(1)** **OR** Prudence **(1)**	**(1)**

TOTAL FOR QUESTION 13 = 5 MARKS

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 2 of 9 · Question 16 part c · 3 marks

2019 JUN · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

16(a)	**Award up to 2 marks for the correct difference.** Capital expenditure generates benefit for longer than one year **(1)** whereas revenue expenditure generates benefit for shorter than one year **(1)**. **OR** Capital expenditure is shown in the statement of financial position **(1)** whereas revenue expenditure is shown in the income statement **(1)**.	**(2)**

Question number	Answer	Mark
16(b)	**Award 1 mark for each concept up to maximum of 2 marks.** Accruals/matching **(1).** Consistency **(1)**. Prudence **(1)**.	**(2)**

Question number	Answer	Mark
16(c)	**Award 1 mark as indicated up to a maximum of 3 marks.** Wear and tear **(1)** Obsolescence **(1)** Passage of time **(1)** Depletion **(1)**	**(3)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 2 of 9 · Question 16 part c · 3 marks

2019 JUN · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question number	Answer	Mark
16(d)	**Award 1 mark for correct amount.** **Award 1 mark for all correct dates and details.** **Provision for Depreciation - Motor Vehicles Account** **Date** | **Details** | **$** \| **Date** \| **Details** \| **$** 1 January 2019 | Disposal | 10 000 **(1)** | 1 April 2018 | Balance b/d | 20 000 31 March 2019 | Balance c/d | 18 000 | 31 March 2019 | Income statement | 8 000 **(1 of)** | | 28 000 | | | 28 000 | | | 1 April 2019 | Balance b/d | 18 000 **(1 of)**	**(4)**

Question number	Answer	Mark
16(e)	**Award 1 mark for correct amount.** **Award 1 mark for all correct dates and details.** **Disposal Account** **Date** | **Details** | **$** \| **Date** \| **Details** \| **$** 1 January 2019 | Motor vehicle | 50 000 **(1)** | 1 January 2019 | Provision for depreciation | 10 000 **(1)** | | | | Cash book-(Bank) | 35 500 | | | 31 March 2019 | Income statement | 4 500 **(1 of)** | | 50 000 | | | 50 000	**(4)**

TOTAL FOR QUESTION 16 = 15 MARKS

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 3 of 9 · Question 2 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part e in this mark scheme extract

2(a) **Award marks as indicated**

Item	Manufacturing account	Income statement	Statement of financial position
Accumulated depreciation – plant and machinery			✓ (1)
Carriage outwards		✓ (1)	
Factory supervisor's salary	✓ (1)		
Purchase of finished goods		✓ (1)	
Returns outwards	✓ (1)		
Royalties paid	✓ (1)		

(6)

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 3 of 9 · Question 2 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part e in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(b)</td><td>Award marks as indicated.
Award one mark for all correct labels.

Dumadi
Manufacturing account for the year ended 31 March 2019

<table>
<tr><th></th><th>$</th><th>$</th></tr>
<tr><td>Prime cost</td><td></td><td>274 410</td></tr>
<tr><td>Overhead costs</td><td></td><td></td></tr>
<tr><td>Indirect factory wages</td><td>16 320(1)</td><td></td></tr>
<tr><td>Light, heat and power</td><td>9 620 (1)</td><td></td></tr>
<tr><td>Rent, rates and insurance</td><td>25 200(1)</td><td></td></tr>
<tr><td>Depreciation – plant and machinery</td><td>9 400(1)</td><td></td></tr>
<tr><td></td><td></td><td>60 540</td></tr>
<tr><td></td><td></td><td>344 950
(1of)</td></tr>
<tr><td>Add: opening work in progress</td><td>3 600(1)</td><td></td></tr>
<tr><td>Less: closing work in progress</td><td>(3 200)(1)</td><td>400</td></tr>
<tr><td>Production cost / cost of production</td><td></td><td>335 350
(1of)</td></tr>
</table>
</td><td>(9)</td></tr>
</table>

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>2(c)</td><td>Award marks as indicated.
<table>
<tr><th></th><th>Increase</th><th>Decrease</th><th>No effect</th></tr>
<tr><td>Purchase of plant and machinery</td><td></td><td></td><td>✓ (1)</td></tr>
<tr><td>Increase in the allowance for doubtful debts</td><td></td><td>✓ (1)</td><td></td></tr>
<tr><td>Increase in the closing inventory of finished goods</td><td>✓ (1)</td><td></td><td></td></tr>
</table>
</td><td>(3)</td></tr>
</table>

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 3 of 9 · Question 2 part e · 2 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part e in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for comments and 1 mark for a conclusion.** **Sample answer** Dumadi uses the reducing balance method to depreciate his plant and machinery as this is the most suitable method for this type of asset **(1).** This method may have been chosen because his plant and machinery may become out of date quickly **(1)** or the asset may have lower maintenance cost in the early years **(1)** or there may be greater benefits to the business from the use of the asset in the early years **(1).** If Dumadi had chosen the straight line method, the same amount of depreciation would have been charged each year **(1).**	**(5)**

Question number	Answer	Mark
2(e)	**Award marks as indicated. Maximum 2 marks.** Wear and tear **(1)** Obsolescence **(1)** Passage of time **(1)** Depletion **(1)** **Allow other appropriate responses**	**(2)**

(TOTAL FOR QUESTION 2 = 25 marks)

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 4 of 9 · Question 1 part d · 2 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part d in this mark scheme extract

1(a)	**Award marks as indicated.** $68 400 **(3) W** **W** $109 100 **(1)**-$40 700 **(1)** = $68 400 **(1of)**	**(3)**

Question number	Answer	Mark
1(b)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(6)**

Mia
Income statement for the year ended 31 December 2019

	$	$	
Revenue		210 000	**(1)**
Cost of sales			
Opening inventory	20 000		
Purchases	155 000		**(1)**
Goods for own use	(3 000)		**(1)**
Closing inventory	(25 000)		
		(147 000)	**(1)**
Gross profit		63 000	**(1of)**

Question number	Answer	Mark
1(c)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(5)**

Mia
Statement of financial Position at 31 December 2019

	$	
Equity		
Equity at 1 January	68 400	
Additional equity	10 000	**(1)**
Profit for the year	21 000	**(1)**
Drawings	(18 150)	**(1)**
Total equity	81 250	**(1of)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 4 of 9 · Question 1 part d · 2 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part d in this mark scheme extract

Question number	Answer	Mark
1(d)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Physical deterioration/ wear and tear/usage/rust/erosion/rot and decay **(1)** Economic reasons/obsolescence **(1)** Passage of time/time factor **(1)** Depletion **(1)**	**(2)**

Question number	Answer	Mark
1(e)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Accruals **(1)** Prudence **(1)** Consistency **(1)**	**(2)**

Question number	Answer	Mark
1(f) (i)	**Award 1 mark for each correct answer.**	**(2)**

Ratio	Formula
current (working capital)	Current assets / Current liabilities **(1)**
liquid (acid test)	Current assets – inventory / Current liabilities **(1)**

Question number	Answer	Mark
1(f) (ii)	**Award 1 mark for a general statement regarding the change in liquidity over the year. Further 3 marks for discussion on both ratios and the final 1 mark for a conclusion.** **Sample answer:** The liquidity of the business has declined **(1)** over the year which is evidenced by the reduction in both ratios. The current ratio indicates that the business can pay its short-term debts **(1).** However, the acid test ratio indicates that the business will struggle to pay its short-term debts from its liquid assets **(1)** which is due to the business holding too much inventory **(1)**. In order to improve liquidity, the business needs to convert inventory into cash quicker to improve the bank balance **(1)**.	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 5 of 9 · Question 13 part b · 1 mark

2020 NOV · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

13 (a)	**Award marks for correct date, details and amounts in combination.** **Disposal Account** **Date** / **Details** / **$** / **Date** / **Details** / **$** 2019 Dec 31 / Motor vehicles - cost / 20 000 **(1)** / 2019 Dec 31 / Motor vehicles – provision for depreciation / 4 000 **(1)** – / Income statement / 400 **(1of)** / – / Bank / Cash Book / 16 400 **(1)** – / – / 20 400 / – / – / 20 400	**(4)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 5 of 9 · Question 13 part b · 1 mark

2020 NOV · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
13 (b)	**Award 1 mark as indicated** Wear and tear **(1)** Obsolescence **(1)** Passage of time **(1)** Depletion **(1)** **Accept any other appropriate responses.**	**(1)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 6 of 9 · Question 18 part b · 2 marks

2021 JUN · Paper 01 · extract 1 of 2 · find part b in this mark scheme extract

18(a)	**Award marks as indicated.** Capital expenditure is the purchase or improvement of non-current assets **(1)** whereas revenue expenditure is the day-to-day running costs of the business **(1)** The benefit from capital expenditure is expected to last for more than one year **(1)** whereas the benefit from revenue expenditure is expected to last for less than one year **(1).** **Accept any other appropriate responses.**	**(4)**

Question Number	Answer	Mark
18(b)	**Award marks as indicated. (Maximum 2 marks).** Wear and tear Obsolescence Economic factors Time factor Usage Technological change	**(2)**

Question Number	Answer	Mark
18(c)	**Award 1 mark as indicated** Accruals **(1)** or Prudence **(1)** or Consistency **(1)**	**(1)**

Question Number	Answer	Mark
18(d) (i)	**Award marks as indicated** $30 720 **(2) or** $38 400 **(1)**	**(2)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 6 of 9 · Question 18 part b · 2 marks

2021 JUN · Paper 01 · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
18(d)(ii)	**Award 1 mark for each figure as indicated.** **Award 1 mark for all correct dates and details.**	**(6)**

Motor Vehicle Disposal Account

Date	Details	$	Date	Details	$
Dec 1 2020	Motor vehicle	48 000 **(1)**	Dec 1 2020	Provision for depreciation	17 280 **(1of)**
				Cash book/ bank	14 000 **(1)**
				Bilal	14 000 **(1)**
			Jan 31 2021	Income statement	2 720 **(1of)**
		48 000			48 000

TOTAL FOR QUESTION 18= 15 MARKS

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 7 of 9 · Question 17 part a · 2 marks

2022 JUN · Paper 01 · extract 1 of 3 · find part a in this mark scheme extract

17(a)	**Award marks as indicated** Wear and tear **(1)** Obsolescence **(1)** Usage **(1)** Technological change **(1)** Depletion **(1)** Time factor**(1)** Economic factors **(1)** **Max 2 marks**	**(2)**

Question number	Answer	Mark
17(b)	**Award marks as indicated** Capital expenditure is charged to the statement of financial position **(1)** whereas revenue expenditure is charged to the income statement **(1)** Capital expenditure is expenditure on acquiring or improving non-current assets **(1)** whereas revenue expenditure is payment of day-to-day expenses **(1).** **Accept any other appropriate response**	**(2)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 7 of 9 · Question 17 part a · 2 marks

2022 JUN · Paper 01 · extract 2 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
17(c)	**Award marks as indicated.** **Capital expenditure** / **Revenue expenditure** Delivery cost: ✓ **(1)** (Capital expenditure) Motor insurance: ✓ **(1)** (Revenue expenditure)	**(2)**

Question number	Answer	Mark
17(d)	**Award 1 mark as indicated.** $15 360 **(1)**	**(1)**

Question number	Answer	Mark
17(e)	**Award marks for correct dates, details and amounts as indicated.**	**(4)**

Provision for Depreciation – Motor Vehicles Account

Date	Details	$	Date	Details	$
2020 June 30	Disposal	14 640 **(1of)**	2021 Apr 1	Balance b/d	18 240 **(1)**
Mar 31	Balance c/d	10 480	Mar 31	Income statement	6 880 **(1)**
		25 120			25 120
			Apr 1	Balance b/d	10 480 **(1of)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 7 of 9 · Question 17 part a · 2 marks

2022 JUN · Paper 01 · extract 3 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>17(f)</td><td>Award marks for correct dates, details and amounts as indicated.

Asset Disposal Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>2021
Jun 30</td><td>Motor vehicle – cost</td><td>30 000
(1)</td><td>2021
Jun 30</td><td>Motor vehicle – provision for depreciation</td><td>14 640
(1of)</td></tr>
<tr><td>2022
Mar 31</td><td>Income statement</td><td>1 040
(1of)</td><td>Jun 30</td><td>Cash book / bank</td><td>16 400
(1)</td></tr>
<tr><td></td><td></td><td>31 040</td><td></td><td></td><td>31 040</td></tr>
</table></td><td>(4)</td></tr>
</table>

Total for Question 17 = 15 marks

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 8 of 9 · Question 7 part whole · 1 mark

2023 JUN · Paper 01 (regional R) · find part whole in this mark scheme extract

7	**D 1,2 and 3**	**(1)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 9 of 9 · Question 18 part a · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 2 · find part a in this mark scheme extract

18(a)	**Award 1 mark for each correct reason up to max 2 marks.** Wear and tear **(1)** Depletion **(1)** Obsolescence **(1)** Passage of time **(1)**	**(2)**

Question Number	Answer	Mark
18(b)	**Award up to two marks for each explanation** **Capital expenditure** is money spent on the purchase or improvement of non-current assets **(1)** which are purchased by the business for long term use. **(1)** **Revenue expenditure** is money spent on the day to day running of a business **(1)** which benefits the business in the short term. **(1)** **Accept any other appropriate responses**	**(4)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $4 000 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $2 400 **(1)**	**(1)**

Type MS · Why non-current assets lose value (causes of depreciation)

Answer 9 of 9 · Question 18 part a · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 2 · find part a in this mark scheme extract

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>18(d)</td><td>Award marks for correct dates, details and amounts in combination.

Machinery - Provision for Depreciation Account
<table>
<tr><th>Date</th><th>Details</th><th>$</th><th>Date</th><th>Details</th><th>$</th></tr>
<tr><td>31 Dec 2022</td><td>Balance c/d</td><td>12 000</td><td>31 Dec 2022</td><td>Income statement / Depreciation charge</td><td>12 000 (1)</td></tr>
<tr><td></td><td></td><td>12 000</td><td></td><td></td><td>12 000</td></tr>
<tr><td>31 Dec 2023</td><td>Balance c/d</td><td>21 600</td><td>1 Jan 2023</td><td>Balance b/d</td><td>12 000 (1)</td></tr>
<tr><td></td><td></td><td></td><td>31 Dec 2023</td><td>Income statement / Depreciation charge</td><td>9 600 (1)</td></tr>
<tr><td></td><td></td><td>21 600</td><td></td><td></td><td>21 600</td></tr>
<tr><td></td><td></td><td></td><td>1 Jan 2024</td><td>Balance b/d</td><td>21 600 (2/1of)</td></tr>
</table></td><td>(5)</td></tr>
</table>

<table>
<tr><th>Question Number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>18(e)</td><td>Award up to two marks for a valid reason.

Sample answer

As the business will benefit from using the non-current assets over several years it needs to match the benefit (1) with the cost of using the asset in the income statement (1).

Accept any other appropriate responses.</td><td>(2)</td></tr>
</table>

TOTAL FOR QUESTION 18 = 15 MARKS